

Startup Autopsy: What Actually Kills Funded Indian Startups

A dataset of 52 real, named, funded Indian startups that shut down between 2023–2025 — built to find out whether "funding winter" is really the whole story.

52 startups analysed 2023–2025 shutdown window 7 cause categories

\$1.0B+ in disclosed lifetime funding

01

Data & methodology

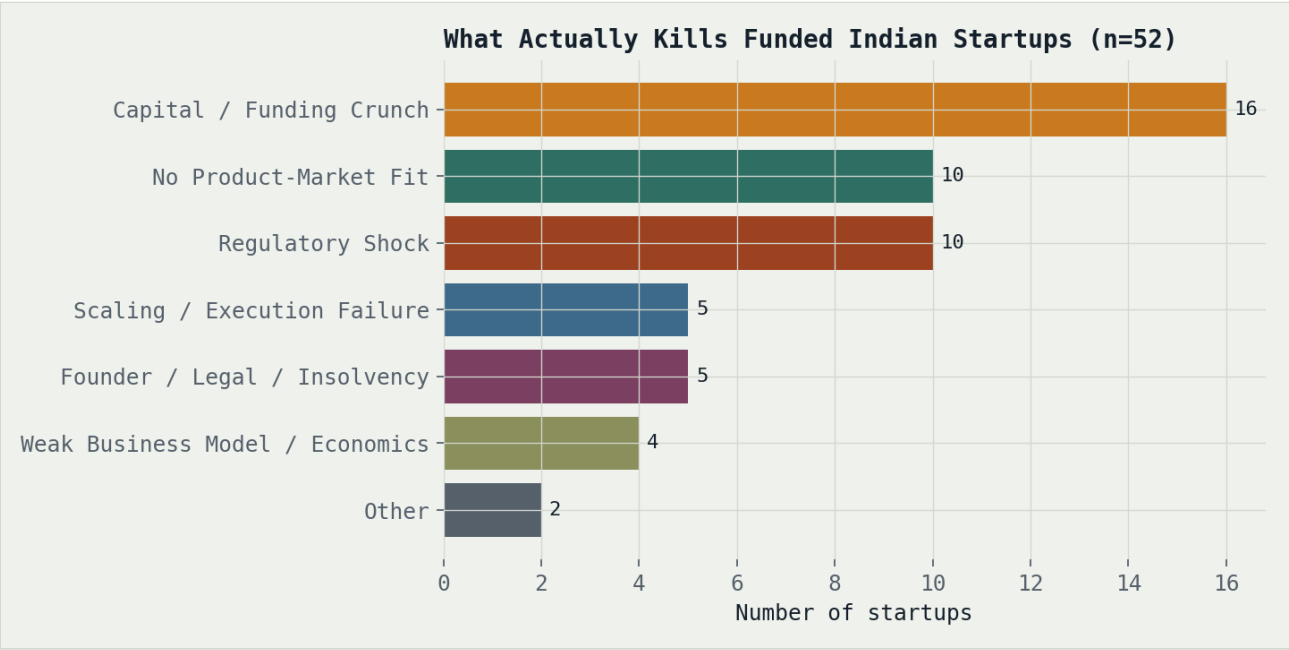
All 52 startups are drawn from Inc42's annual "Startup Graveyard" reports for [2023](#), [2024](#), and [2025](#) — India's largest startup-focused business media outlet. Each entry reflects the founders' own public statement on why the company shut down.

What this data is NOT: a census. Tracxn data cited in the same reports shows over 28,000 Indian startups shut down in 2023–2024 alone. This covers only the ~52 well-known or well-funded enough to be individually reported — a study of documented, funded shutdowns, not of startup failure in general.

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The headline: what's actually killing these startups?

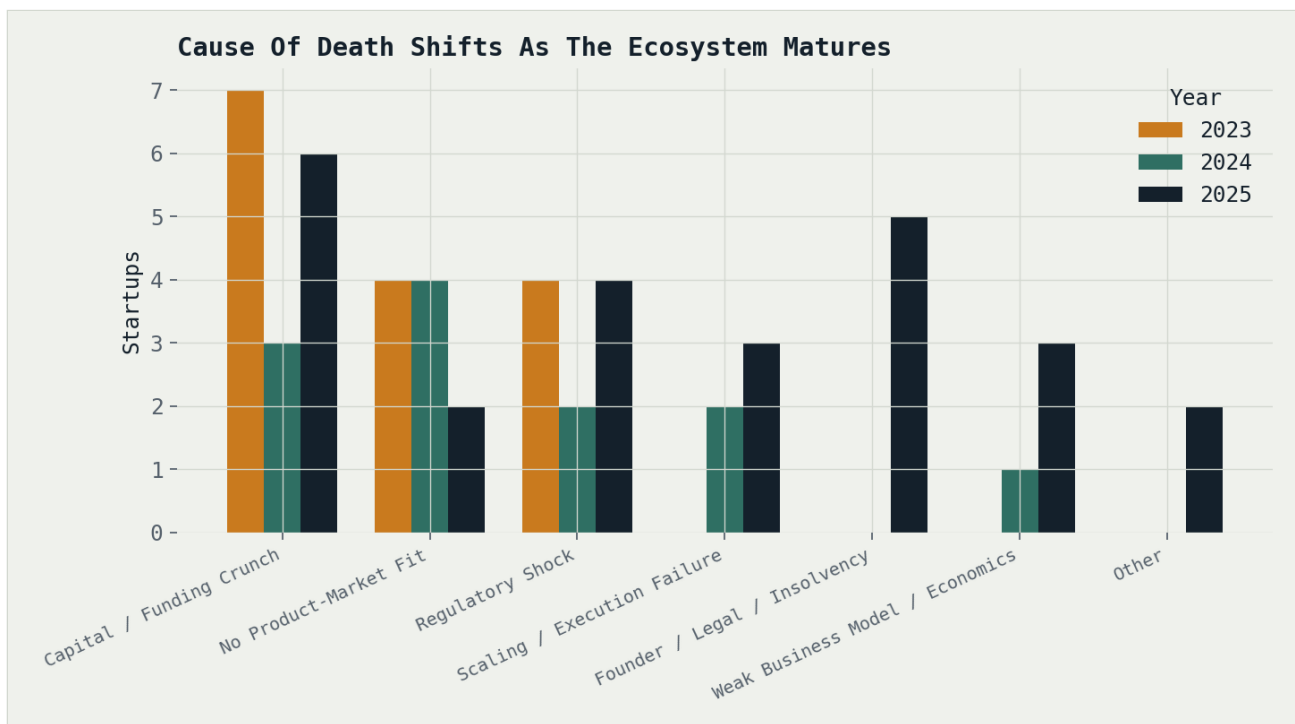
Capital / Funding Crunch (31%) is the single biggest documented cause — unsurprising given 2023–2024 was India's harshest funding winter in a decade. But the real story is what's tied for second: **No Product-Market Fit and Regulatory Shock, at 19% each**. Nearly one in five funded shutdowns wasn't a market failure at all — it was a policy failure: a GST hike, an RBI directive, a licensing rejection.



03

How the type of death is shifting

52 startups split 15 / 12 / 25 across 2023 / 2024 / 2025 — shaped as much by media coverage choices as by the real rate of failure, so treat the raw yearly count with caution. What's more reliable is the composition: **Founder / Legal / Insolvency failures — fraud allegations, governance collapse, court proceedings — don't appear at all in 2023 or 2024, but account for 5 of the 25 documented 2025 shutdowns** (BluSmart, Builder.ai, Good Glamm Group, ANS Commerce, Astra). As the ecosystem matures past pure "ran out of money" stories, governance failure is emerging as its own failure mode at the top end of the market.

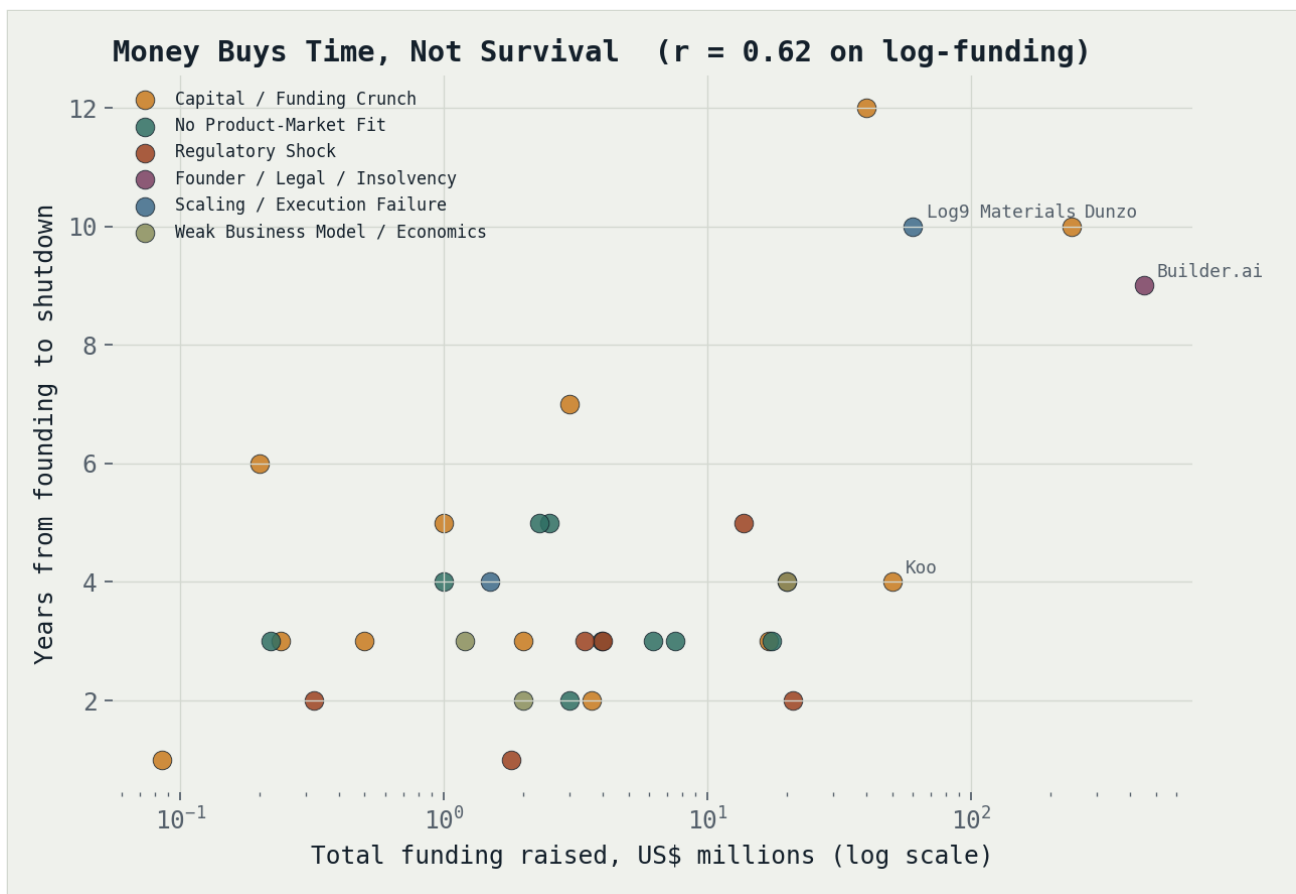


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Does more funding buy survival — or just time?

A moderate positive correlation ($r = 0.62$ on log-funding vs. years survived) confirms the intuitive story, with an important twist: **money buys runway, not survival.**

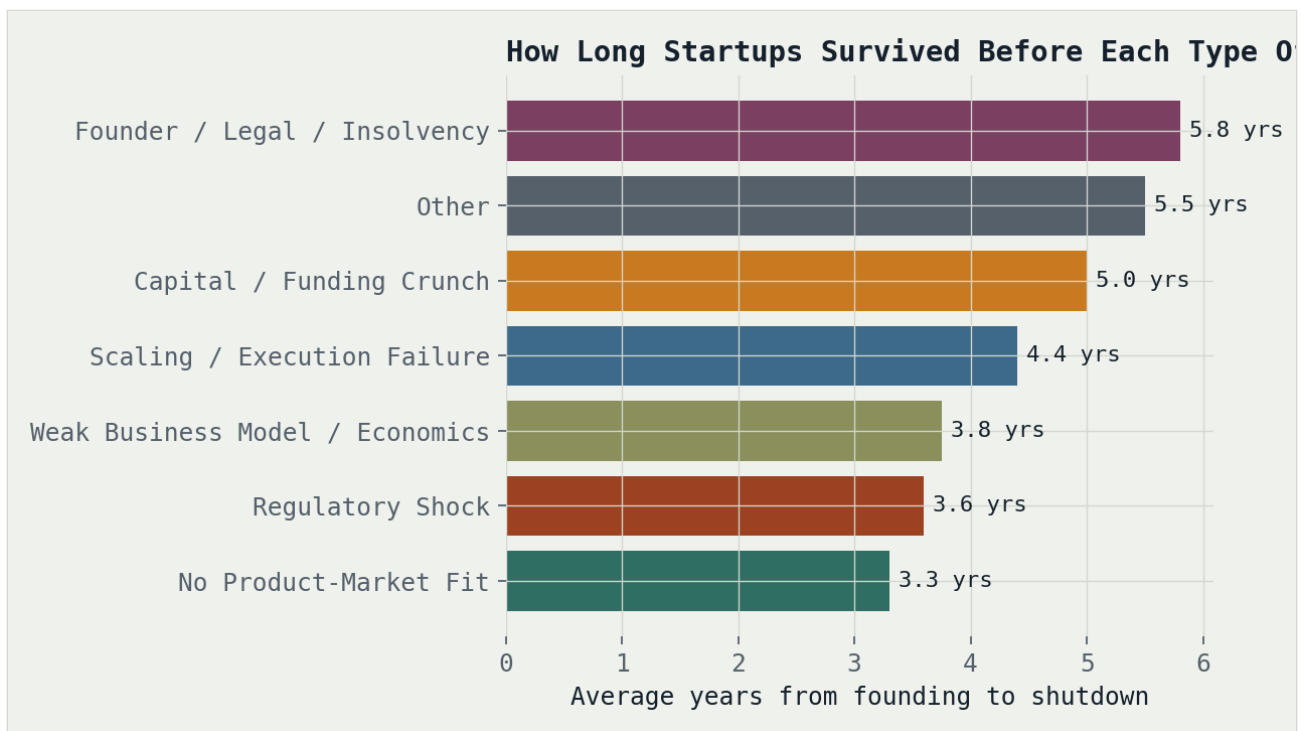
Builder.ai raised \$450M and still lasted only 9 years; Log9 Materials raised \$60M for 10 years. Meanwhile several startups with under \$1M folded within 1–3 years of their first cheque. The relationship is real but weak enough that funding level alone is a poor predictor — sector and cause of death matter more than cheque size.



05

How long each type of death takes to arrive

Startups that die from **No Product-Market Fit** fail fastest (3.3 years average) — the market simply never showed up. Startups felled by **Founder / Legal / Insolvency issues survive longest** (5.8 years average) — governance problems tend to surface only once a company has scaled enough to have real money, real disputes, and real regulators paying attention.



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Which sectors die from which causes

The most actionable view in the dataset. Two patterns stand out immediately:

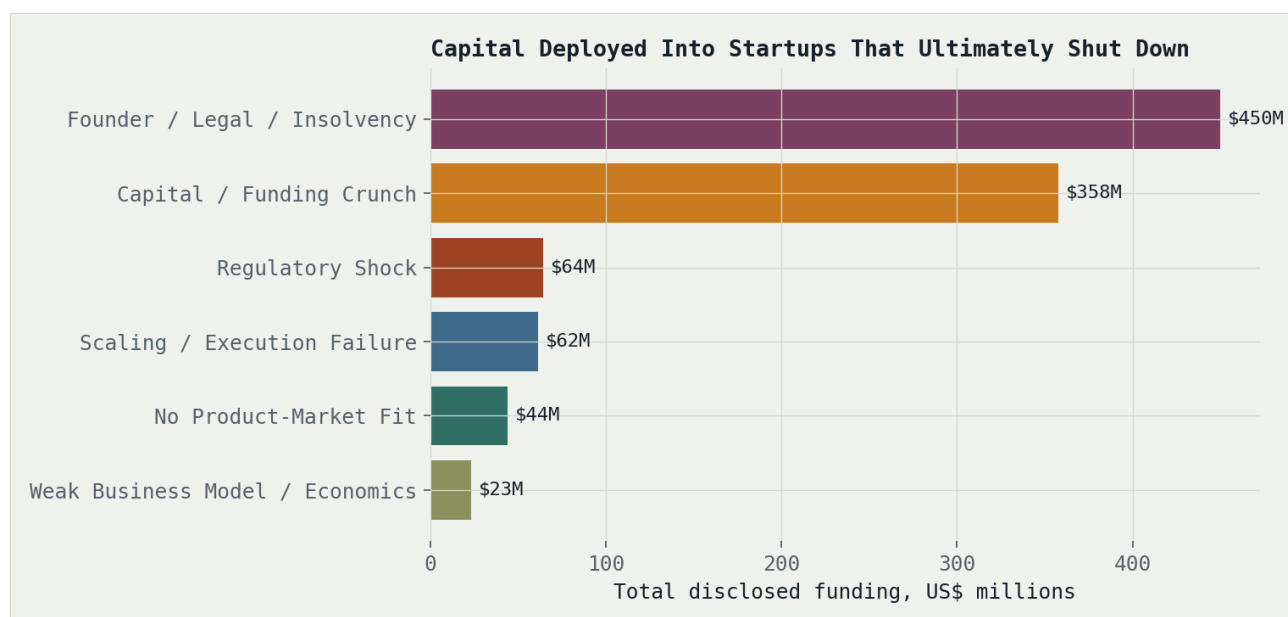
- **Gaming & RMG dies almost exclusively from regulatory shock** (4 of 4 documented shutdowns) — the 28% GST hike and the 2025 real-money-gaming ban were close to the only thing that killed this sector.
- **Enterprise SaaS and Healthtech** cluster heavily around No Product-Market Fit — both are sectors where a technically excellent product can still find no buyer, because enterprise and healthcare sales cycles punish anything short of a precise fit.
- **Fintech** is the only sector split cleanly across three different causes, suggesting it's simply a harder, more multi-dimensional business to get right than most.



07

Capital deployed into companies that ultimately shut down

Across the 34 startups with disclosed funding, **just over \$1 billion in total lifetime capital** went into companies that eventually shut down — heavily skewed by two 2025 outliers (Builder.ai's \$450M and Dunzo's \$240M). Excluding those two, the remaining 32 startups still accounted for over **\$310M** — a reminder that most of these were ordinary seed-to-Series-A companies, not moonshot mega-rounds, that quietly didn't make it.



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Key findings

1. **Capital crunch is the single biggest documented cause of death (31%)** — but Product-Market Fit failure and Regulatory Shock are statistically tied for second (19% each). Regulation is a top-three killer, not a footnote.
2. **Regulatory risk is a constant background hazard**, not a fading pandemic-era problem — it caused 4, 2, and 4 shutdowns in 2023, 2024, and 2025 respectively, with no sign of tapering as the funding winter thaws.
3. **Founder / governance failures are a distinctly 2025 phenomenon** in this dataset (0 → 0 → 5), surfacing only as the ecosystem's highest-profile, longest-running companies reach the scale where fraud and mismanagement become visible and material.
4. **Funding buys time, not survival** ($r = 0.62$ on log-funding vs. lifespan) — real but moderate. Sector and cause of death explain the outcome better than cheque size alone.

5. **Some sectors have a single dominant killer.** Gaming & RMG has essentially one cause of death: regulation. Enterprise SaaS and Healthtech share another: no one wanted to buy the product.

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Limitations & next steps

Sample size and selection bias: n=52 is a curated media sample, not a random or exhaustive one — it skews toward better-funded, Bengaluru-headquartered, VC-backed companies. **Single stated cause per startup:** most shutdowns have multiple contributing factors, flattened here into one dominant category per startup. **Funding figures are approximate** where originally reported in INR. **Next steps:** extend with Tracxn's aggregate shutdown counts to weight these categories against the true base rate, and track 2026 shutdowns to see whether the Founder/Legal category keeps growing.